Beta Drugs Ltd

Concall Tracker · Q2 2027 · continues the Q1-2027 report

1. Snapshot

Makes cancer medicines at plants in Baddi and Derabassi and sells them four ways: its own Adley brand to Indian hospitals, contract manufacturing for other pharma companies, tender exports to around 30-45 countries, and API (the raw drug chemical). Smaller lines: dermatology and IVF fertility drugs via Nivian Lifesciences (66% bought in April 2026). Moved from NSE SME to the main board in late 2025.

Number	Value	What it means
Market cap	Rs 2,081 cr	What the market says the whole company is worth; a small-cap, off its high.
H1 FY27 group revenue growth	29.2%	Sales for April-September up about three-tenths, but Nivian (bought) supplies a big chunk of it.
H1 FY27 group EBITDA margin	23.18% incl. other income (22% without)	Operating profit per Rs 100 of sales, roughly flat on last year.
H1 FY27 group profit	Rs 34 cr (from Rs 24 cr)	Up about 45%, helped a lot by the end of debenture interest.
Stock P/E	114x (standalone)	Screener uses the smaller standalone profit; on group profit the multiple is much lower, but still not cheap.
Receivable days	116 days	Customers take nearly four months to pay, edging up from 113 days in March.

2. Concall coverage

Quarter	Date	Transcript read?
H1 FY23 to FY26 (8 calls)	Nov 2022 to May 2026	Carried forward from the Q1-2027 report
Q1 FY27	none	No call held (results and slides only)
Q2 / H1 FY27	22 Oct 2026	Newly deep-read in full ★

Beta holds calls twice a year. Only the newest call was read in full; the backstory comes from the prior report.

Latest concall highlights: Q2 / H1 FY27 (call held 22 Oct 2026)

- H1 group revenue up 29.2%, profit up about 45% to Rs 34 cr; EBITDA margin flat at about 23% including other income.
- Own brands up only 17% for the half and flat in Q2 because a plant was shut for debottlenecking (Rs 6-7 cr of sales pushed to H2). Management still says Rs 150 cr of branded sales for FY27, needing about Rs 80 cr in H2 against Rs 62 cr last year.
- Exports Rs 43 cr in H1, about flat on last year's Rs 41 cr (which held a one-off Rs 25 cr order). FY27 export guidance is now Rs 90-100 cr, down from Rs 105-110 cr in May.
- EU-GMP audit slipped again: Europe now wants dossiers filed first; four filed, audit letter expected in two to four months.
- Nivian grew 75% in H1 to Rs 31 cr. Intermediates plant to go live by January 2027. Group FY27 revenue target "535-plus" crore; long-run 20-25% growth with 23-24% margins repeated.

Business mix & capacity

Domestic vs export: Domestic about 82% / exports 18% of FY26 revenue; H1 FY27 exports Rs 43 cr, so still under a fifth of sales.

Capacity use: Not updated on this call. FY26 plant use was about 67-79%; debottlenecking at one plant is now done and "optimal production" is back at both.

Since our last report

Builds on the Q1-2027 report (no Q1 call; last call 15 May 2026). Prior verdicts: trigger YES (branded oncology, idle plant, falling interest, not exports), consistency NO. That report had no checkpoints box, so its promises to watch are scored below.

Prior read	What we said then	What the new call shows	Movement
Trigger	Branded oncology plus idle plant plus no more debenture interest	Interest gone and profit up 45%; branded slowed to 17% on a plant shutdown	Unchanged
Consistency	Numbers promises keep missing	Export guidance cut again, EU audit slipped again	Unchanged
Exports Rs 105-110 cr in FY27	Already off track after Q1	H1 Rs 43 cr; guidance cut to Rs 90-100 cr	Slipping
EU-GMP audit by Sep 2026	Seventh date	Missed; now two to four months after dossiers	Broken
Quarterly calls	Promised in May 2026	No Q1 call; back to a half-yearly call	Slipping

Checkpoint results: Partly | Missed | Missed. Both verdicts unchanged.

3. Earning Trigger thesis

The real engine is unchanged and mechanical: own-brand cancer drugs growing near 20% at high margins, roughly a third of the plants idle, and the debenture interest gone. This half added a strong Nivian IVF run and a breakthrough first order from Tata Memorial hospitals. The export and Europe story still doesn't deliver.

Trigger	What management said	Evidence so far	Time horizon	Strength
Own-brand oncology	20-22% growth; Rs 150 cr in FY27	17% in H1; plant shutdown in Q2	FY27	Moderate: slowed this half
Lower interest	Debentures converted	Interest cost sharply down; profit up 45%	Now	Strong
Nivian IVF	30-35% growth for two to three years	75% growth in H1	1-3 yrs	Moderate: bought, but growing
Contract manufacturing	Rs 180-190 cr in FY27; new NDDS products	21% growth in H1	FY27	Moderate
Exports / Europe	Rs 90-100 cr FY27; Rs 300 cr in three to four years	Flat in H1; EU audit slipped again	3+ yrs	Weak

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	"PAT margin is increased mainly because of the cost of debt reduction... the debt which was there in the form of debentures" (22 Oct 2026)
New business	Yes	Nivian IVF up 75%; first purchase order from Tata Hospitals; recombinant FSH in development (22 Oct 2026)
Margin up	No	Margin flat at about 23%
New management	No	
New capacity	Yes	Intermediates plant to go live by January 2027 (22 Oct 2026)
Big orders	No	
Turnaround	No	
Promoter buying	No	

The single concrete driver: Own-brand cancer drugs and the newly bought IVF business growing on idle, already-paid-for plants, with the debenture interest now gone from the profit and loss account.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY26 (May 2026)	Exports Rs 105-110 cr in FY27	Cut to Rs 90-100 cr; H1 flat	Missed
Every call 2022-26	EU-GMP audit	Slipped again; no date	Missed
FY26 (May 2026)	Quarterly calls from now on	No Q1 call held	Missed
FY26 (May 2026)	Own brands 20-25% growth	17% in H1; full year still guided	Partly
Mid-2026	Debentures convert, interest falls	Done; interest down sharply	Delivered
FY26 (May 2026)	Nivian 30% growth	75% in H1	Delivered

Narrative drift: Same pattern as before. Operations deliver (debottlenecking done, Nivian growing, intermediates plant nearly ready) while the headline numbers drift: export guidance cut, the EU audit pushed again, and a new set of far-off ideas (biosimilars, plants abroad, a Rs 1,000 cr FY30 vision) added to the story.

5. Bottom line

Durable earning trigger? → YES

vs last quarter: unchanged. Profit grew fast as interest fell away and Nivian grew, but the branded engine slowed this half on a plant shutdown. The real trigger is still branded oncology on idle plants, not exports.

Management consistent? → NO

vs last quarter: unchanged. Export guidance was cut again, the Europe audit slipped for the eighth time, and the promised quarterly call didn't happen.

6. Checkpoints for next quarter

- Own-brand sales hit the promised Rs 150 cr for FY27
- Intermediates plant goes live by January 2027
- EU-GMP audit letter actually arrives

This is not investment advice. Do your own due diligence.